

Multiple Choice (10 marks)

1. In the last 20 years firms that produce cameras have begun to produce fewer 35-mm cameras and more digital cameras. This trend is an example of
 - (a) the market system answering the question of "what" cameras should be produced.
 - (b) the market system answering the question of "when" cameras should be produced.
 - (c) the market system answering the question of "why" cameras should be produced.
 - (d) the influence of government regulation on camera production.
 - (e) the market system answering the question of "where" cameras should be produced.
2. If your nominal income rises 4 percent and your real income falls 1 percent by how much did the price level change?
 - (a) 4 percent increase
 - (b) 3 percent increase
 - (c) No change in the price level
 - (d) 5 percent decrease
 - (e) 5 percent increase
3. Which of the following statements is true concerning the population regression function (PRF) and sample regression function (SRF)?
 - (a) The PRF and SRF are interchangeable terms referring to the same concept.
 - (b) The PRF is the model used for prediction, while the SRF is used for explanation
 - (c) The PRF is used to infer likely values of the SRF
 - (d) Whether the model is good can be determined by comparing the SRF and the PRF
 - (e) The SRF is a theoretical construct, while the PRF is an empirical construct
4. If corn is produced in a perfectly competitive market and the government placed a price ceiling above equilibrium, which of the following would be true?
 - (a) Corn would become a luxury good due to the price ceiling.
 - (b) The government would have to subsidize corn production.
 - (c) The price of corn would increase dramatically.
 - (d) The price of corn would remain the same but the quality would decrease.
 - (e) The producers of corn would lose revenue due to the decreased price.
5. What is meant by the technically efficient method of production?

- (a) A method that minimizes the time taken to produce a product
- (b) A method that uses more of all inputs to increase output
- (c) A method that produces the highest quantity of output
- (d) A method that relies solely on the latest technology
- (e) A method that achieves the fastest production speed regardless of resource usage

True / False (10 marks)

Answer True or False

- 6. True or False: Money serves as a unit of account, a medium of exchange, and a store of value in the economy.
- 7. True or False: Crowding out occurs when consumers and firms reduce their spending, which offsets the effects of expansionary fiscal policy.
- 8. True or False: According to Keynesian theory, changes in the money supply have significant effects on the economy.
- 9. True or False: A rise in the euro's value against the U.S. dollar suggests that interest rates in the United States have decreased.
- 10. True or False: For Skylar, the marginal benefit of the second piece of cake is greater than the marginal cost of consuming it.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of an increase in the price of pears on the quantity demanded, considering factors such as consumer behavior and market dynamics.
- 12. Discuss how multiple firms can sell identical products within a monopolistic competition framework, addressing the implications for pricing, consumer choice, and market dynamics.

End of Paper